

The Foreign Politics of State-Making

Endogenous Power Shifts and the Logic of External Influence

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The Investiture Conflict

1. Emperor Henry IV ruled the Holy Roman Empire with German princes
2. Pope Gregory VII excommunicated Henry IV (1076)
3. The princes elected Rudolf of Rheinfelden anti-king; Henry walked to Canossa to beg forgiveness (1077)

Research Question

- How does elite empowerment effect the development of the state?
 - And how do foreign powers exploit this?

Preview: Main Results

1. The elite is temporarily strong $\rightarrow$ the ruler undermines institutions
2. Three-player model: Stronger baseline institutions $\rightarrow$ non-monotonic effect
3. Mechanism: Power shifts are strategic

Departure

- I focus on early states and the fundamental problem that faces states: managing violence.
- **Institutions:** shared rules that shape the behavior of actors (North 1990) and help them reach peaceful settlements (Abramson et al. 2025; North et al. 2009).
 - Institutions in their weakest sense

Model

Setup

- Three players: Ruler (R), Elite (E), Foreign Sponsor (F).
- Two periods
- Complete information.
- Two issues under dispute.
- Solution: SPE.

Players and Sequence

Period 1:

1. F chooses whether to fund a player,
2. R offers E a share of the domestic good.
3. E accepts or rejects. Rejection triggers domestic conflict. Ruler still bargains with F . Game ends.
4. If accepted, R chooses institutional strength $r \in \{r^h, r^l\}$ and offers F a share of the foreign good.
5. F accepts or rejects, Rejection triggers international conflict.

Period 2 (occurs with probability $1 - r$):

1. The interaction repeats and the game terminates.

Results

w_E^* Divides Peaceful Results

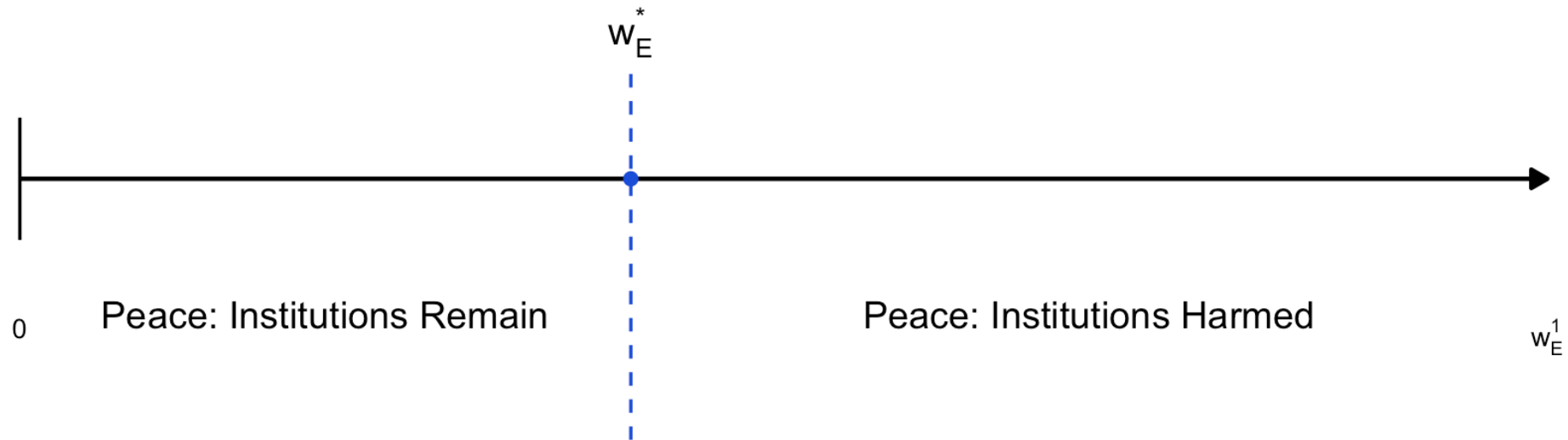


Figure 1: Peaceful Thresholds

- w_E^* divides peaceful results into weak institutions or strong institutions.
- A shift in favor of elites $\rightarrow$ *weaker* institutions.
- Example: Edward III and the House of Commons during the Hundred Years' War

The Paradox of Strong Institutions

Proposition: In the three player model, strengthening baseline institutions can move the equilibrium result from peace to erosion or conflict.

- Mechanism: Power shifts are strategic
 - r^h increases the value of foreign interference → increases chances of power shift

Intuition

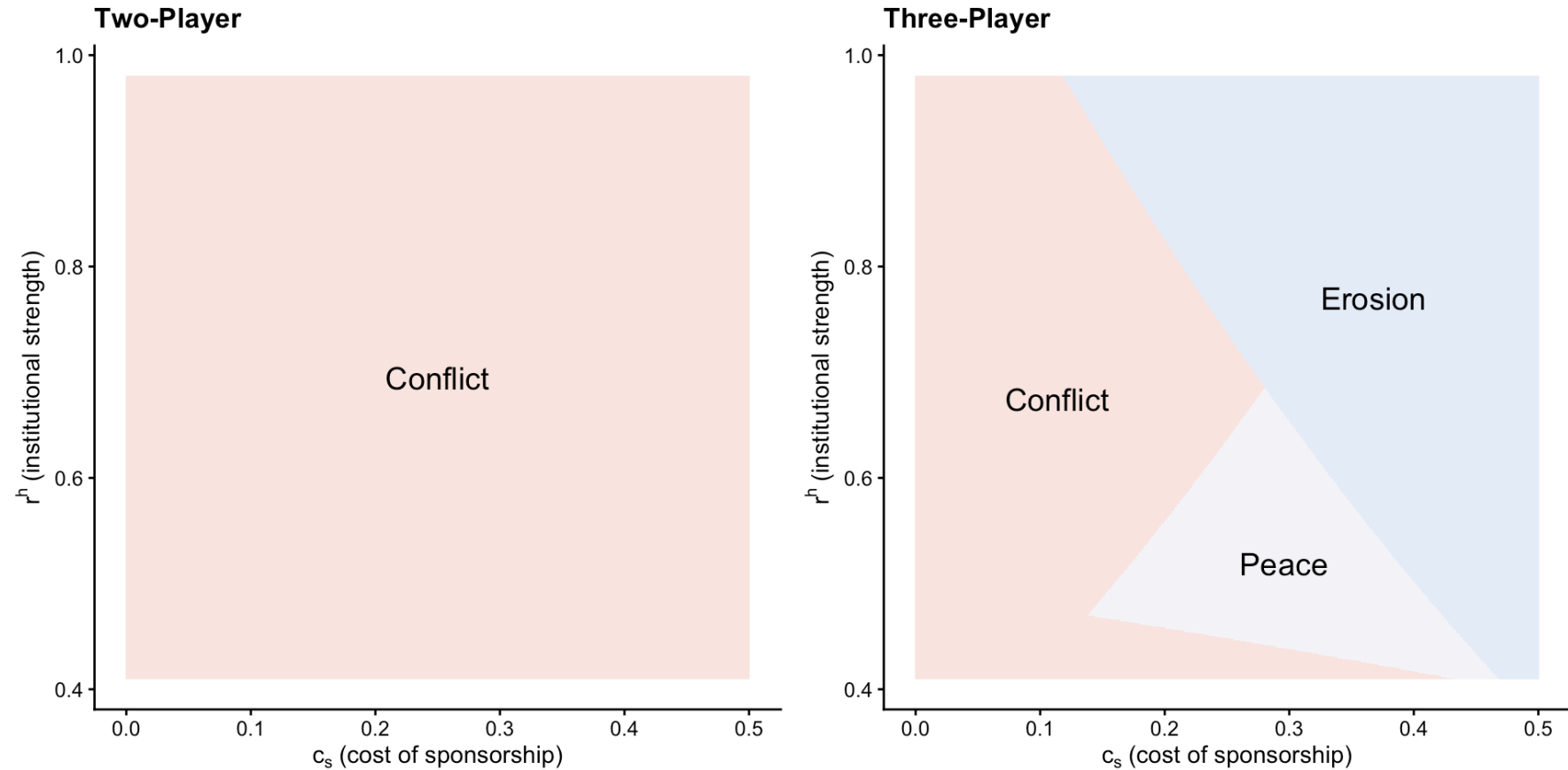


Figure 2

- Left panel (2-player): the power shift is exogenous
- Right panel (3-player): cheap interference (low c_s) expands erosion and conflict
- Strong baseline institutions → more interference

Conclusion

- Elite empowerment can weaken the state.
- Foreign sponsors fund elites strategically to erode domestic institutions
- Strengthening baseline institutions can increase the value of interference
- Gregory VII's excommunication of Henry IV illustrates the logic

References

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